Connecting sustainable finance with climate-resilient growth

By Arthur Yuen

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Remarks by Mr Arthur Yuen, Deputy Chief Executive of the Hong Kong Monetary Authority, at One Earth Summit 2026, Hong Kong, 28 October 2026.

Introduction

Good afternoon everyone. To those who have travelled from overseas to join us today, welcome to Hong Kong.

Not sure if some of you have come here today through Tuen Mun, by the tunnel that runs under the water to the bridge port and the airport. Take a moment to think about that name, Tuen Mun. It appears in Tang-dynasty records, more than a thousand years ago. It

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traders.

This little story tells us that Hong Kong has been a meeting point for trade for a very long time. The legacy of leveraging our advantages to serve as a gateway remains deeply embedded in our roots today. But there is a key difference: Hong Kong has now evolved far beyond a trading hub.

Today, Hong Kong positions ourselves as a super-connector and home to hubs of many kinds. The HKSAR Government's inaugural Five-Year Plan, which seeks to consolidate and enhance the "Four Centres and One Hub", underscores our versatility and capacity to act as a focal point across multiple dimensions. We seamlessly bridge Hong Kong, Chinese Mainland, and Asia with the global market; connect financing needs with international capital; bridge technological ideas with practical applications, and talents across boundaries.

To remain an effective connector and hub, we have to stay attuned to the evolving global landscape. Geopolitical, technological and economic developments have dominated the headlines. But sustainability —and climate change in particular—has also become a defining priority. We all have witnessed, and probably felt firsthand, the growing frequency and heightening impact of extreme weather events across is a

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Action is needed and so is capital. Mitigation requires three to four times the current global finance flows. Adaptation in developing countries requires 12 to 14 times current international public finance flows.

As an international financial hub, Hong Kong has both a responsibility and an opportunity to connect sustainable capital with the pressing needs. The HKMA is fully committed to advancing this agenda, as set out in the Sustainable Finance Action Agenda launched in 2024.

Hong Kong as an international sustainable hub

Hong Kong has led Asia's league table for arranging international green and sustainable bonds in Asia for eight consecutive years. The momentum is encouraging but more can be, and has to be done.

We are strengthening Hong Kong as an international sustainable finance hub along two dimensions: depth and breadth. We are deepening its foundations through common standards, greater awareness and higher transparency. At the same time, we are extending its reach by bringing together capital, people and technology.

Deepening the foundation

Let me begin with the foundation. A hub needs a common language and a trusted standard. They build confidence in the market and give participants a clear basis on which to act. In sustainable finance, this means answers to some fundamental questions. What would be green enough to be labelled green? What is transition considering the sectoral development? What is adaptation given the local context?

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measures.

While we call it the Hong Kong Taxonomy, it serves a broader regional and global purpose.

Asia currently accounts for over 60% of global GHG emissions. It is also a powerhouse of green and clean tech manufacturing. Today, Asia drives nearly 60% of global clean tech investments,[1] supplying roughly 80% of the world's solar modules and 65% of its batteries.[2] This is why the latest Phase 2B prototype covers activities critical to the region's decarbonisation, such as the manufacture and recycling of batteries, and the manufacture of low-carbon technologies.

Mitigation is only one side of the coin. Our Taxonomy is among the first in the region to include the "climate change adaptation" objective. This is particularly relevant for Asia, which is on the front lines of severe physical climate risks. Low-lying areas account for roughly 13% of our total urban population, and 13 of the world's 20 largest cities are located on the coast.

Here in Hong Kong, 14 tropical cyclones battered us and the Black Rainstorm Warning was issued five times last year - both historical records. Our latest proposed Taxonomy defines and sets out standards for adaptation measures designed specifically to tackle flooding, storm damage, and shoreline protection in Hong Kong. By defining exactly what constitutes a credible, robust adaptation project, our Taxonomy ensures that the capital we deploy today actively future-proofs our communities against the severe physical risks of tomorrow.

We are encouraged to see confidence building up, evidenced by a growing number of banks and corporates have adopted the Taxonomy in their investment and financing activities and sustainable

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need to understand not only what climate change means for themselves and their clients today, but also how these exposures may evolve over time. This explains why we have been taking forward our work on transition planning. The transition planning guidelines, which have just been finalised, will help banks manage climate-related risks and identify opportunities to support their clients' transition. In this way, climate risk management by financial institutions would create a ripple effect throughout the real economy. Awareness also needs to be supported by data. For example, through the cloud-based platform provided by the HKMA, banks can better understand clients' assets vulnerabilities and adaptation needs. This enables more effective client engagement and helps identify potential adaptation opportunities.

The final element of the foundation is transparency, which makes information available, consistent and comparable across the market. The HKMA is developing disclosure requirements for the banking sector to provide market participants with more reliable information. Together with the steadily increasing climate disclosures from corporates, these efforts will support better-informed sustainable finance decisions and foster trust in the market.

Extending the connection

With the foundation firmly in place, we connect capital, people, and technology to grow and sustain the hub.

First up, capital. The Government Sustainable Bond Programme is a strong testimony to this commitment. Since 2019, nearly HK$280 billion green bonds have been issued, with proceeds allocated to over 110 Government's green projects. These issuances set benchmarks for potential issuers in the region and

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challenges like climate change. Put simply, two people create a single connection but a group of 200 people can build nearly 20,000 connections. This year at the Hong Kong Green Week, we brought together more than 14,500 participants, featuring senior figures from international financial institutions, thought leaders in the field, and technology experts in 60 events. This would not have been possible without the strong support from like-minded organisations, including the One Earth Alliance, who supported the closing event of Hong Kong Green Week 2026, the Green Fintech Symposium. I would like to take this opportunity to invite all of you to partner on our next Hong Kong Green Week, and to visit Hong Kong and participate in the wide-ranging forums during that week.

Speaking of green fintech, this brings us to the technology. Technology can help connect capital and people, improve the efficiency of financial intermediation, and enable good ideas to be scaled across the financial system. Just last month, the latest issuance of Digital Green Bonds set a record as the world's largest digital bond issuance. This demonstrates how technology can transform traditional financial products and ultimately, the broader financial ecosystem. Technology can also equip banks with better tools to make informed sustainable finance decisions. At the Green Fintech Symposium, market providers showcased solutions ranging from carbon-trading platforms and automated monitoring and verification systems to A.I.-driven risk models.

Ultimately, the value of these connections lies in turning ideas into action. By bringing capital, people, technology, and tapping into Hong Kong's deep pool of talent, we can develop practical and scalable business cases, allowing the hub to thrive in the long-run.

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resilience and our unique capacity to reinvent ourselves.

Today, climate change presents an unprecedented challenge, but we still believe that this is not insurmountable.

By deepening our foundation through taxonomies, initiatives on climate risk management, and transparent disclosures, we offer investors a hub of integrity and trust. Through extending the connection, we further bring in and connect capital, people, and technology to mobilise financing to sustain the development of the hub.

The HKMA is and will be fully dedicated to advancing this agenda. We therefore look forward to working with all of you to channel capital towards a sustainable climate-resilient community for Hong Kong, for Asia and for the world.

Thank you.

▶ 2 Footnotes

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Arthur Yuen

Acting Chief Executive

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